



China Internet & New Media

Global Markets Research

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EQUITY: INTERNET & NEW MEDIA

Takeaways from Douyin ecommerce expert call

Mixed cross-read for Alibaba and JD

Key highlights

The Nomura China internet team recently hosted a group call with an operations manager from Douyin (unlisted) ecommerce. Douyin's 618 Gross Merchandise Volume (GMV) growth in 2026 missed internal targets (~19% y-y vs. the expected 24%–25%) amid a broader ecommerce sector slowdown caused by weakening consumption and a diminishing contribution from trade-in subsidies. As a rank-and-file operations manager, the expert believes Douyin ecommerce is executing a strategic pivot away from aggressive top-line expansion toward a balanced growth model, prioritizing profitability to fund its AI infrastructure and LLM (e.g., Volcano Engine and Doubao). Hence, the expert thinks a realistic FY26 GMV growth target should be 15%–16% y-y (vs. FY25's 29% y-y), vs. the 19% target set in the beginning of the year.

Cross-read for Alibaba and JD

We believe the entire China ecommerce sector may have experienced similar macro headwinds to those faced by Douyin ecommerce. As discussed in our [24 June report](#), we forecast that Alibaba's (BABA US, Buy) reported Customer Management Revenue (CMR) likely declined 8% y-y, while the like-for-like CMR may have remained flat y-y in the June quarter. This is likely below the Street's expected 3%–5% decline for the reported CMR, based on our earlier conversations with some investors.

Yet, despite potential downside risks to the top line, we believe the combined EBITA for BABA's broad core commerce segment may have a chance to come in line with Street expectations, backed by increasingly aggressive loss reduction for quick commerce (QC) and better profitability in international commerce. We further project that BABA may be ready to slow the cash burn for its consumer-facing AI chatbot, Qwen, amidst tight AI chip supplies and an elevated focus on enterprise-oriented AI solutions. All of these efforts should bode positively for the earnings outlook in 2H as the base is aligned. We forecast a V-shaped rebound in BABA's consolidated EBITA in 2H CY2026 (starting from the September quarter) by 78% y-y.

JD.com (JD US, Buy) earlier guided cautiously on its 2Q outlook, expecting JD Retail (JDR) revenue to drop 7%–8% y-y. We believe there is potential upside to this rather cautious 2Q guidance thanks to stronger 618 promotional results. However, the outlook for 2H remains challenging. While the base is trending lower, the pressure on JD's core consumer electronics is likely heightening. Apple (AAPL US, Not rated) recently announced price hikes of 20%–25% on select Mac and iPad models due to cost increases. According to our Douyin ecommerce expert, this action may trigger a chain of price hikes for domestic brands now that Apple has set the precedent. Unless the Chinese government doubles down on its subsidy for this category, the electronic goods category will likely confront a steeper uphill climb in 2H, in our view.

Douyin ecommerce expert call takeaways

Overview of 618 sales: growth missed target, weaker consumer demand, more disciplined subsidies

The expert characterized this year's 618 e-commerce festival as one of the weakest in recent years, featuring low growth and minimal consumer buzz. For Douyin ecommerce specifically, 618 GMV growth was around 19% y-y, falling below the original target of 24%–25%. This followed a similarly moderate 1Q26 GMV growth rate of 19.4% y-y. For perspective, Douyin ecommerce managed to grow 29% in 2025 ([Fig. 2](#)).

The expert attributed the weaker-than-expected 618 performance to several factors:

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- **Softening consumption:** Overall consumption momentum has softened since late March, with weakness increasing in online retail alongside offline channels.
- **High base effect:** Last year's 618 created a high base, as major platforms—including Taobao/Tmall, Douyin, and JD—were significantly aggressive with promotions and subsidies.
- **Simplified mechanics:** This year's promotional mechanics were simplified and proved less effective at driving incremental GMV through cross-selling.
- **Fading subsidy tailwinds:** Categories previously boosted by trade-in subsidies, especially home appliances and consumer electronics, have started to lose momentum as subsidies retreat and earlier demand was front-loaded into last year.

Subsidy spending increased in absolute terms, but the expert emphasized that the intensity remained disciplined. Douyin's consumer-end subsidy spending during the 618 campaign (which lasted for around 35 days) was close to CNY3.5bn, vs. CNY2.6bn–CNY2.7bn last year. However, the average discount rate was only around 15%, lower than last year's roughly 17%. This suggests that while total subsidy spending rose due to scale, the platform was not materially more aggressive regarding discount intensity.

According to the expert, Douyin ecommerce continues to be plagued by a high return rate. The 1Q26 return/refund rate was around 47%, implying a settlement rate of roughly 53%. The high return rate was mainly due to category mix and purchase behavior. Apparel, bags, and shoes currently account for roughly 38% of Douyin ecommerce's GMV; these non-standard categories historically carry higher return rates. Additionally, Douyin's live-streaming and short-video commerce model is more impulse-driven than traditional search-based ecommerce platforms like Alibaba, further elevating post-purchase returns.

Douyin is balancing scale growth and profitability

Douyin's original FY26 full-year GMV target was around 18%–19% y-y, but the expert believes this target is increasingly difficult to achieve as 1H growth came in at only around 19% and the outlook for 2H26 remains challenging. A more realistic full-year growth rate could be around 15%–16%, with an internal target review likely scheduled for July.

Importantly, the expert does not expect Douyin to materially increase subsidies or investments just to defend its top-line target. This reflects a broader strategic shift from aggressive GMV expansion toward a more balanced approach across scale, revenue, and profitability. Douyin Ecommerce has already grown into a very large business and, according to the expert, is now more focused on stability than on maximum market share gains.

Agentic commerce: early stage but strategically important

The cooperation between Doubao and Douyin ecommerce is still in an early stage. According to the expert, the project only began to expand and iterate around February–March 2026. The current GMV contribution from Doubao remains small, at around 2% of Douyin's ecommerce GMV.

That said, the expert views this as one of the most important strategic initiatives for next year. The current focus is not on near-term GMV contribution, but rather product iteration, data integration, supply-chain integration, and product-catalogue understanding. Doubao needs to process and comprehend a massive product library before it can serve as an effective AI shopping assistant, according to the expert.

Apple price hikes and implications for broader ecommerce

Apple recently announced price increases of 20%–25% for select models of Mac laptops and tablets. Douyin Ecommerce's exposure to Apple products is limited, as Apple only opened its official flagship store on Douyin last year and previously relied more heavily on authorized resellers. As a result, the direct impact of Apple's price hikes on Douyin should be limited, according to the expert.

The broader implications, however, are more significant. The expert believes that Apple's price hikes could signal a wider cost-pressure trend across consumer electronics, as many brands face the pinch of rising cost structures. If Apple raises prices, other electronics brands may follow. This could create further pressure on the consumer electronics and home appliance categories in 2H26, according to the expert. In view of the expert, this is negative not only for Douyin but also for the broader ecommerce industry, especially platforms with higher exposure to electronics and appliances, such as JD.

Douyin's strategy toward quick commerce: low priority

The expert believes that Douyin is unlikely to make quick commerce (QC) a major strategic priority in the near-term. Although Douyin has integrated “one-hour arrival” fulfilment services into certain categories on its ecommerce marketplace, the expert does not view this as a sign of a major escalation against Alibaba or Meituan (3690 HK, Buy) in the QC space.

The key reason is that QC requires more than just traffic; it necessitates local merchant supply, warehousing, logistics, fulfilment infrastructure, operational subsidies, and strong local execution. Compared with Alibaba and Meituan, Douyin does not possess an obvious competitive advantage in these crucial areas. The expert also noted that existing players are already reducing subsidies in food delivery, which further reduces the appeal of the QC business to Douyin's senior management.

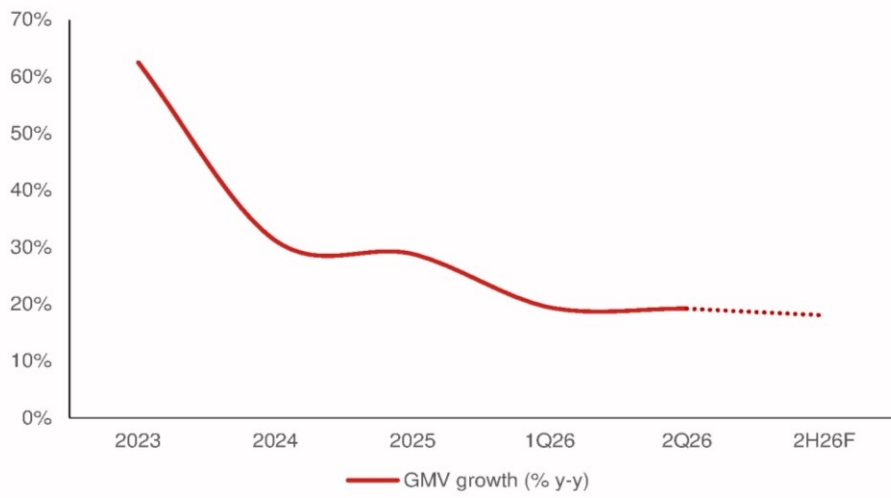
More expert calls to come next

The Nomura China internet team will continue to host calls with industry experts in the days to come. Please refer to below table for the latest schedule. Please contact the Nomura sales team if interested to join any of the calls.

Fig. 1: China internet expert series schedule

#	Date	Time (HKT)	Topic	Speaker Bio
1	Tue, 23 Jun	09:30-10:30	Douyin local service: will it try to grab more market shares?	Expert from ByteDance local service in charge of local hotel and travel business
2	Tue, 23 Jun	15:30-16:30	Online music streaming: Soda Music's growth strategies and targets	Expert works for Soda Music as a product manager
3	Fri, 26 Jun	09:30-10:30	ByteDance cloud business: what's the latest market landscape and competitive intensity?	Expert from ByteDance cloud business in charge of client engagement in the pan-internet and AI ML industry
5	Tue, 30 Jun	09:30-10:30	Douyin E-commerce: 618 promotions review and 2H outlook	Expert works for Douyin ecommerce as an operation manager
6	Tue, 30 Jun	15:30-16:30	China travel industry: taking pulse on the strength of travel post the fuel surcharges adjustments *CPT Eligible*	Mr. Lei Wang, Head of data intelligence division, Flights Management
7	Fri, 3 Jul	09:30-10:30	TikTok expert: Check for the latest ecommerce growth trends in overseas markets	Expert works for TikTok shop as a cross-border logistics solution manager
8	Fri, 3 Jul	15:30-16:30	LLM (1): How to view the evolution of China's LLM market competitiveness and commercialization trajectory	Expert works for a leading Chinese AI lab as a product manager
9	Tue, 7 Jul	15:30-16:30	Online healthcare: What's the impact of recently released regulations on online healthcare platform sales?	Expert works from a leading Chinese online healthcare platform as a KA and brand operation manager
10	Thu, 9 Jul	09:30-10:30	LLM (2): How to view the evolution of China's LLM market competitiveness and commercialization trajectory	Expert from a Chinese research lab in charge of AI research
4	Thu, 9 Jul	15:00-16:00	AI animated drama and short drama: the industry status quo and the growth sustainability	Expert is from China's No 1 short-drama platform, Red Fruit, which is owned by ByteDance

Source: Nomura research

Fig. 2: Douyin ecommerce GMV growth trend (% y-y)

Source: Company data, Nomura estimates

Appendix A-1

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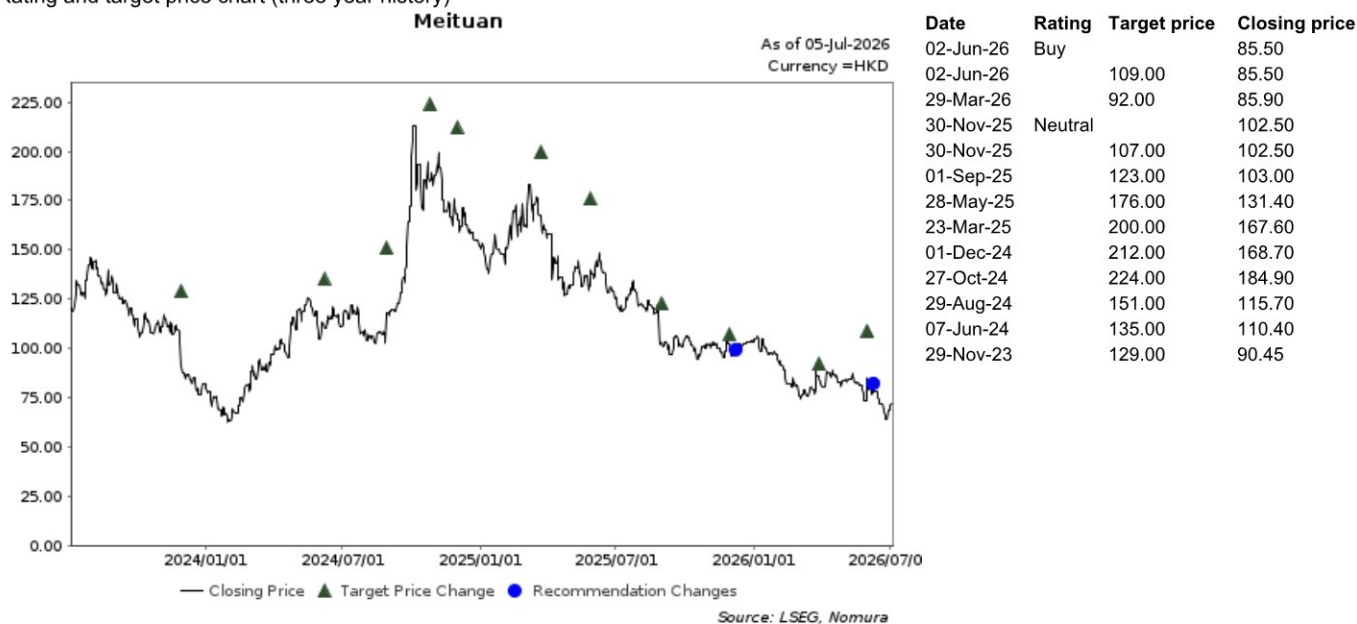
Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Meituan	3690 HK	HKD 71.60	03-Jul-2026	Buy	N/A	A10
Alibaba Group Holding	BABA US	USD 96.14	02-Jul-2026	Buy	N/A	A10
JD.com	JD US	USD 26.62	02-Jul-2026	Buy	N/A	A10

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Meituan (3690 HK)

HKD 71.60 (03-Jul-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We value the food delivery business at USD16bn based on 7x FY28F P/E and discounted to FY26. We value the instashopping business at USD5bn based on 15x FY27F P/E and discounted to FY26. We value the in-store, hotel and travel business at USD21bn based on 8x FY27F P/E and discounted to FY26. We value the new business at USD28bn, based on 1.5x FY26F P/S. The resulting TP is HKD109. The benchmark index for the stock is the Hang Seng Index.

Risks that may impede the achievement of the target price Downside risks include: (1) intensifying competition in the food delivery or in-store consumption verticals; and (2) worse-than-expected performance in the new initiatives.

Alibaba Group Holding (BABA US)

USD 96.14 (02-Jul-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)

Alibaba Group Holding

Date	Rating	Target price	Closing price
24-Jun-26		178.00	99.80
14-May-26		207.00	141.12
20-Mar-26		200.00	122.41
23-Jan-26		237.00	173.23
09-Jan-26		193.00	150.96
08-Oct-25		215.00	181.12
01-Sep-25		170.00	135.00
09-Jul-25		152.00	103.83
21-Feb-25		172.00	142.62
18-Nov-24		130.00	88.65
10-Oct-24		135.00	108.42
16-Aug-24		106.00	82.52
09-Apr-24		101.00	71.80
08-Feb-24		103.00	69.63
10-Jan-24		117.00	70.25
17-Nov-23		134.00	76.34
11-Aug-23		142.00	94.16

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We value Alibaba's China Ecommerce Group at USD89bn, based on 5x FY27F P/E; its AliCloud business at USD270bn, based on 7x FY28F P/S; and its net valuation of non-core assets (including international ecommerce business) at USD40bn. The resulting TP is USD178. The benchmark index for this stock is Nasdaq Composite.

Risks that may impede the achievement of the target price Downside risks include: margin downside due to ramp-up in investments; regulatory risks related to the payment and internet finance industry, which could hurt Alibaba's main business and its value in Ant Group.

JD.com (JD US)

USD 26.62 (02-Jul-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)

JD.com

Date	Rating	Target price	Closing price
14-May-26		41.00	32.86
06-Mar-26		40.00	27.03
14-Nov-25		37.00	29.31
18-Aug-25		43.00	31.77
10-Jul-25		45.00	31.22
14-May-25		52.00	35.73
08-Mar-25		55.00	42.29
16-Nov-24		50.00	35.00
15-Oct-24		53.00	40.16
12-Jul-24		38.00	28.15
17-May-24		42.00	35.27
07-Mar-24		33.00	23.99
17-Nov-23		36.00	27.61
12-Oct-23		45.00	27.83
17-Aug-23		48.00	34.76

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our SOTP-based TP is USD41. We value JD Retail at USD20bn based on 6x FY26F P/E. The benchmark index for the company is Nasdaq Composite.

Risks that may impede the achievement of the target price Downside risks include 1) further deterioration of macro economy, and 2) weaker margin ramp up for JD Retail and/or JD Logistics.

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